1. Introduction to Corporate Finance

What is Finance?

In simple terms, finance is all about money and how we manage it. It involves how money comes into a business (**inflow**) and how it goes out (**outflow**). A business is successful only if it can generate and use its funds efficiently. As Henry Ford said, money is like an "arm or leg"—you either use it or you lose it.

1.1 Meaning and Definition of Corporate Finance

Corporate finance is the study of how a corporation raises (gets) and uses its money. It covers three main areas:

- **Raising finance:** Finding where to get the money.
- **Capital structuring:** Deciding the mix of different types of funds.
- **Investment decisions:** Deciding where to spend the money to make a profit.

Key Definition:

According to **Henry Hoagland**, corporate finance deals with the acquisition (getting) and use of capital by a business.

The Two Pillars of Corporate Finance

The finance manager must make two basic decisions:

1. **Financing Decision:**

The firm needs to find the right source of money. They can choose **Equity Capital** (money from owners/shareholders) or **Debt Capital** (loans, debentures). The goal is to have the right mix of both at the lowest cost.

    - **Daily Life Example:** If you want to buy a bicycle, you can use your own savings (Equity) or borrow money from a friend (Debt).

2. **Investment Decision:**

Once the money is raised, it must be used systematically to get the maximum return for the owners. This is also called "**Capital Budgeting**". The firm must ensure that the profit they make is higher than the "cost of capital" (the interest or return expected by those who gave the money).

    - **Daily Life Example:** Choosing whether to spend your savings on a new phone or investing it in a small hobby business that earns you more money.

1.2 Importance of Corporate Finance

Finance is the most important part of managing a business. Here is why:

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- **Helps in Decision Making:** A business cannot function without funds. Every decision, like starting a new project, is made based on whether it is profitable and if funds are available.
- **Raising Capital for a Project:** When a company wants to start a new venture, it needs money. It can get this by issuing shares, bonds, or taking bank loans.
- **Research and Development (R&D):** To grow, a company must improve its products. This requires continuous financial support for technical work and market surveys.
- **Smooth Running of Business:** Money is needed to pay employee salaries on time, pay off loans, buy raw materials, and promote products.
- **Coordination:** Finance acts as a link. For example, the production department can only buy raw materials if the finance department provides the money.
- **Expansion and Diversification:** To buy modern machines and grow the company, finance is mandatory.
- **Managing Risk:** Finance helps a company survive sudden risks like a fall in sales, strikes, or natural calamities.
- **Replacing Old Assets:** Over time, machinery becomes old and needs to be replaced with new ones using finance.
- **Payment of Dividend and Interest:** Finance is needed to reward shareholders (dividends) and lenders (interest).
- **Payment of Taxes:** Every company must pay taxes like GST and Income Tax to the government.

1.3 Capital Requirements

When an entrepreneur starts a business, they must create a **Financial Plan**, which is an assessment of how much money is needed and where it will come from.

(A) Fixed Capital

Fixed capital is the money used to buy fixed assets that stay in the business for a long time (almost permanently) and are not for resale.

- **Examples:** Land, buildings, furniture, and machinery.
- **Daily Life Example:** Buying a house is like fixed capital because you use it for a long time and don't plan to sell it every day.

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Factors Affecting Fixed Capital Requirement:

- **Nature of Business:** Manufacturing industries need a lot of fixed capital (for machines), while a trading business (buying/selling) needs less.
- **Size of Business:** A large-scale business needs more fixed capital than a small one.
- **Scope of Business:** If a firm produces and distributes things on a large scale, it needs more capital.
- **Lease or Rent:** If you rent a building (Lease), you need less fixed capital than if you buy it.
- **Sub-contracting:** If you hire others to do some production work, you need fewer machines and less capital.
- **Old Assets:** Buying second-hand machinery at low prices reduces the capital needed.
- **Concessional Rates:** Getting land or materials at discounted rates from the government reduces requirements.
- **International Conditions:** Companies trading internationally might buy assets early if they fear a war or shortage.
- **Trend in Economy:** If the future looks bright, an entrepreneur will invest more in fixed assets.
- **Population Trend:** A rising population increases demand for goods (like clothes or phones), requiring more fixed capital for factories.
- **Consumer Preference:** High demand for certain products (like mobile phones) requires more fixed capital.
- **Competition:** If a competitor starts using automatic machines, you may be forced to do the same.

(B) Working Capital

Working capital is the money used for day-to-day business activities.

- **Purpose:** To buy raw materials, pay overheads (indirect costs like rent and electricity), and keep the business running until customers pay for the goods.
- **Daily Life Example:** The money you keep in your pocket to pay for bus fare or snacks every day.

Two Ways to Look at Working Capital:

1. **Gross Working Capital:** The sum total of all current assets (Cash + Debtors + Inventory).
2. **Net Working Capital:** The excess of Current Assets over Current Liabilities.
    - **Formula:** Net Working Capital = Current Assets – Current Liabilities.

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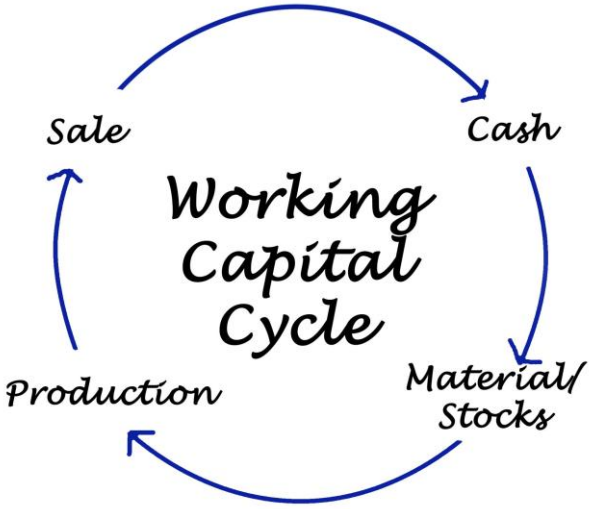
The Working Capital Cycle (Diagram Explanation):

Money flows in a circle:

1. Cash is used to buy **Inventories** (raw materials).
2. Inventories are used in **Production** to make goods.
3. Goods are **Sold** (often on credit).
4. **Receivables** (money owed by customers) are collected.
5. Collection brings the **Cash** back, and the cycle repeats.



Factors Affecting Working Capital Requirement:

- **Nature of Business:** Public utilities (like gas or electricity) get cash immediately from customers, so they need less working capital. Luxury goods manufacturers need more because sales are infrequent.
- **Production Cycle:** If it takes a long time to turn raw materials into finished goods, you need more working capital.
- **Business Cycle:** During a "boom" (good times), sales are high, so more working capital is needed. During a "recession," less is needed.
- **Terms of Purchase and Sale:** If you have to pay your suppliers immediately but allow your customers a long time to pay you, you need more working capital.
- **Growth and Expansion:** Growing companies need more funds for their large-scale operations.

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1.4 Capital Structure

Meaning: Capital structure is the "security mix" or the ratio of different types of capital used by a firm. It is the mix of **Owned funds** and **Borrowed funds**.

Components of Capital Structure:

- **Equity Share Capital:** This is the basic source of money. Owners get dividends only after everyone else is paid. Their return fluctuates with profits.
- **Preference Share Capital:** These shareholders have a "priority" right to get dividends at a fixed rate before equity owners.
- **Retained Earnings:** This is "internal financing" or "ploughing back of profit"—the company's own saved profit.
- **Borrowed Capital:** This includes:
    - **Debentures:** A certificate showing the company has taken a loan and will pay a fixed interest.
    - **Term Loans:** Loans from banks at a fixed interest rate.

Formula Example:

If a company has:

- Equity Shares: ₹1,00,000
- Preference Shares: ₹5,00,000
- Reserves (Savings): ₹50,000
- Debentures (Loan): ₹1,00,000
- **Total Capital Structure** = ₹1,00,000 + ₹5,00,000 + ₹50,000 + ₹1,00,000 = **₹7,50,000**.

1.5 Distinction: Fixed Capital vs. Working Capital

Point	Fixed Capital	Working Capital
Meaning	Invested in physical fixed assets.	Sum of current assets.
Nature	Stays permanently in the business.	It is circulating; it keeps changing.

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Point	Fixed Capital	Working Capital
Purpose	To buy land, buildings, equipment.	For short-term items like cash and inventory.
Sources	Shares, debentures, long-term loans.	Short-term loans, deposits, trade credit.
Risk	Higher risk (long-term commitment).	Lower risk.

Summary

- Corporate Finance is about getting and using money for a company.
- Fixed Capital is for long-term assets like land and machinery.
- Working Capital is for daily needs like cash and stock.
- Capital Structure is the mix of owned (Equity) and borrowed (Loans) funds.

Key Terms

- **Capital Budgeting:** The process of making investment decisions.
- **Overheads:** Indirect costs like rent, taxes, and electricity needed to run a business.
- **Lease:** A contract to use someone else's property (like a building) for a period of time for a fee.
- **Production Cycle:** The time taken to turn raw material into a finished product.

Exam-Oriented Questions & Answers

Q1. Define Corporate Finance.

Ans: Corporate finance deals with the raising and using of finance by a corporation. It involves financing decisions, capital structuring, and investment decisions.

Q2. What are the two main decisions of a Finance Manager?

Ans:

1. **Financing Decision:** Choosing the right source of funds (Equity vs. Debt).

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2. **Investment Decision:** Using the raised funds in a systematic manner to get maximum returns (Capital Budgeting).

Q3. State any four factors affecting Fixed Capital requirement.

Ans: 1) Nature of business (Manufacturing vs. Trading), 2) Size of business, 3) Extent of lease or rent, and 4) Scope of business.

Q4. Distinguish between Fixed Capital and Working Capital (any two points).

Ans:

1. Fixed capital is for long-term assets, while working capital is for short-term/current assets.
2. Fixed capital stays permanently in the business, while working capital is circulating.

Q5. What is Capital Structure?

Ans: Capital structure is the mix of various sources of funds (owned and borrowed) in a desired proportion. It includes equity shares, preference shares, retained earnings, and debentures.